

- Price mirrors can help determine how price will move in the future.

For example, say the left side shows a tall peak. Imagine that the right side will also show a tall peak, but one that doesn't quite make it up to the price of the left peak (to be conservative). The right peak will be your target.

Pay attention to the valleys and peaks to the left of the island and project them onto the right of the chart so you'll know what the future will bring. Price mirrors don't always work, of course, but they will give you some idea of where price might turn. You can use that guidance to set your price target for a swing trade.

For island tops, you'll want to look for the closest knot of support below the bottom of the island. That knot will be at least 3 days wide, often much wider, with lots of price overlap as the stock moves horizontally. That's your target. Use the top price shown in the knot.

If the first knot is located well below the bottom of the island, then expect support about midway down that trend. So cut the distance in half and use that as a target.

- Review knots in [Chapter 1](#) for guidance on what they look like and how to use them to trade.

Sample Trade

Consider the situation faced by Clarence as illustrated in [Figure 45.5](#). He watched the semiconductor company's stock plummet. During November and December, the stock formed a long island consolidation (I no longer consider long islands to be chart patterns worth studying. Long islands have two gaps that do not share a common price, such as the one shown in November to December). He knew it was not a reversal because the two gaps did not line up across from each other. Then another island formed in January through early February.